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THE SATURDAY ESSAY

The Invention of the Trillionaire

The Gilded Age titans did more than build railroads. They paved the way for the reinvention of the stock market—and the creation of runaway wealth.

By T.J. Stiles
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ON SEPTEMBER 28, 1916, five years after the U.S. Supreme Court famously ordered the breakup of Standard Oil, founder John D. Rockefeller Sr. became the world's first billionaire.

The Sherman Antitrust Act may have been designed to rein in corporate power, but it did nothing to slow Rockefeller's massive accumulation of wealth. Even as the federal government battled monopolies in court, something else happened that made unprecedented fortunes possible—a revolutionary way of thinking about stock. Just a decade before Rockefeller's triumph, Americans resolved a hugely consequential debate over a fundamental question that still defines our economy today: What is a share?

Today we think of a share simply as a unit of ownership, its value determined by the market—and the investor hopes the value will continually rise. But these notions would have shocked the public in 1880, or even 1900. The 19th-century mental architecture of finance was concrete, built directly on the physical world. A share stood for a set amount of tangible stuff, which limited stock volume and value. This view was defended by financial journalist Henry Poor (memorialized in Standard & Poor), Theodore Roosevelt and the editors of *The Wall Street Journal*, who argued in 1901 that U.S. Steel stock should "represent...the value of the plant."

John D. Rockefeller, left, who would become the world's first billionaire, circa 1900. GAMMA-KEYSTONE/ GETTY IMAGES

But financiers like Jay Gould, J.P. Morgan and Rockefeller pushed a new, more abstract mindset. They broke the link between the value of a share and physical things. It led to the birth of the modern stock market, which would go on to produce a historic run of personal wealth creation—becoming the very mechanism that would turn Rockefeller into the world's first billionaire.

It is the same mechanism that empowers Elon Musk to become the world's first trillionaire.

LIKE SO MANY ARGUMENTS over corporations in American history, this one started with railroads—the first truly big businesses in America.

Cornelius Vanderbilt was arguably the first railroad tycoon to dominate the stock exchange. A tall, lean, hard-knuckled man, he started his working life in an open boat, then rose through fistfights, steamboat races and a private war against an American who made himself dictator of Nicaragua. Nicknamed "the Commodore," he moved from steamships to rail in 1863, taking over New York's Harlem and Hudson River railroads. In 1867 he seized the mighty New York Central in a fight with its new management by cutting off New York City from all rail traffic to the interior, causing its stock price to collapse.

In 1868, he collided with his friend Daniel Drew, in what would become known as the Erie War.

Cornelius Vanderbilt, an American railroad and shipping business magnate and philanthropist. LIBRARY OF CONGRESS

Drew was a pious churchman who specialized in insider trading, which wasn't only legal, but made him "reliable" in the eyes of the first credit agency in America. He was also a director and treasurer of the Erie Railway, whose stock he routinely shorted, then manipulated down. Vanderbilt wanted a rising market to help him buy still more New York Central shares on margin. Drew agreed to assist, but couldn't help himself. He cheated Vanderbilt with a short selling operation in Erie shares that caused the market overall to fall. Furious, Vanderbilt sought revenge by cornering Erie stock, buying up all available shares. "I am not afraid of my enemies," Vanderbilt declared, "but, my God, you must look out when you get among your friends."

The Erie board feared it was an attempt to take over their company and monopolize the major New York railways. The board's defense was organized by a pair of new directors: the brash, corpulent Jim Fisk and the quiet, black-bearded Jay Gould, who once wrote, "There are magicians' skills to be learned on Wall Street, and I mean to learn them." Gould used all of them against Vanderbilt, employing various ruses to issue massive amounts of new stock.

A judge aligned with Vanderbilt, who had issued an injunction against the new stock, then ordered the arrest of the Erie directors for contempt for violating his order. Racing just ahead of police, the board of one of America's biggest corporations made a panicked flight to legal refuge in New Jersey, "each [director] lugging off an account book, desk, drawer, or as much of the red tape documents as could be grasped in the hurry of the moment," the *New York Herald* reported.

Lithograph created by Currier and Ives that depicts Cornelius Vanderbilt and James Fisk in a race for control of New York's rails. UNIVERSAL IMAGES GROUP/GETTY IMAGES

There Fisk tried to shift the focus to the threat of monopoly, telling the press they were fighting to keep food prices low for "the poorer classes especially." Gould dealt with the legal question by going to Albany with a checkbook. "For three days he wooed legislators with a liberal supply of food, drink, and greenbacks," writes historian Maury Klein. The state legislature proved open to these arguments. It overwhelmingly passed a bill to legalize the new stock. Vanderbilt's corner collapsed.

W**HY WAS THE NEW STOCK BAD?** There was its dubious legality, of course. Also it deliberately damaged the price, hurting existing shareholders. But there was something deeper at stake.

At the time, typical shares were issued with a face value of $100 each, known as par value. This was supposed to represent an expenditure of $100 on real capital—land, physical plant, rolling stock and the like. If you founded a railroad and needed to spend $6 million to build it, you were supposed to issue 60,000 shares with a par value of $100.
Par value mattered to Americans, who thought it made shares tangible and honest. The market value was expected to fluctuate around this figure, not steadily rise.

Investors looked for a return in the form of dividends, often called "interest on capital." In other words, one share's stock certificate stood for $100 of physical stuff, which management used to make a profit, which was distributed as a dividend.

Stock issued beyond construction costs was called "watered stock." The term originated in livestock markets (where Drew got his start), from the practice of inducing cattle to drink heavily before weighing and sale. Another term was "overcapitalization." The problem wasn't dilution of share value, but that "excess" stock represented nothing. It broke faith with the literal, tangible conception of shares.

To understand this very concrete mindset, it helps to remember the workings of the gold standard (from which the federal government briefly departed during and after the Civil War). Paper notes were simply a marker for metal. In theory, one could return a $10 note and get $10 in gold coin. The gold itself, they thought, was the real money; the volume of gold limited the volume of paper currency. They saw a stock certificate in a similar light, as a token for $100 worth of stuff—stuff that limited the number of shares.

Clockwise: The Stock Exchange building in New York City, circa 1865; An Erie Railroad Company stock certificate; A cartoon from the 1880s shows W.H. Vanderbilt gleefully watching Jay Gould drowning in flood of his own watered stock. GETTY IMAGES

Fisk's flamboyance and Gould's bribes made the Erie's watered stock seem obviously crooked. Yet overt corruption was beside the point for economic thinkers. Conventional wisdom insisted that the economy in general comprised tangible things. "Transportation cannot add to wealth," argued Charles Francis Adams Jr., a leading financial journalist and later president of Union Pacific. "It never makes one ton two." Services, growth, market share, earnings, intellectual property—none of it played a role in calculating the value of a company. Only what you could touch mattered.

The expectation of dividends was key. Their size and certainty drove market prices. If a corporation issued "excess" stock, investors feared it would fail to maintain dividends. If it did pay dividends on watered stock, the public assumed it was being overcharged. Henry Poor condemned stock watering in 1869, writing, "Such enormous additions to the capital of companies, without any increase of facilities…threaten more than anything else to destroy the value of railway property as well as to prove most oppressive to the public."

The argument took a new turn on April 5, 1882, when a 23-year-old state assemblyman named Theodore Roosevelt accused Jay Gould of corrupting a state judge in order to monopolize New York City's elevated railroad system. Oddly, it wasn't the monopoly that bothered him. He focused on Gould's use of "a fraudulent company—the Manhattan Elevated Railroad." The company issued stock without building anything.

The new element was that Gould and his associates used it functionally as a holding company—a corporation that exists simply to own other corporations. First they bought control of the two elevated railway companies operating in the city, but they were barred by the law from merging. So Gould's party took control of the Manhattan Elevated Railroad, which had never gone into operation, existing only on paper. Gould's party leased the other two lines to it to unite them under one management.

Theodore Roosevelt as a New York state assemblyman in 1884. UNIVERSAL IMAGES GROUP/ GETTY IMAGES

Holding companies violated Roosevelt's conventional economic morality, because its stock didn't represent actual construction. But he couldn't stop Gould, who cleverly used leasing, not ownership, to get around state law.

It foreshadowed what came next. In 1889, New Jersey explicitly authorized corporate ownership of other corporations. Holding companies chartered in New Jersey went on to play a central role in the manufacturing merger boom that started in the 1890s. Between 1897 and 1904, historian Jean Strouse writes, "4,277 firms consolidated into 257. The hundred largest concerns quadrupled in size and took control of 40 percent of the country's industrial capacity."

The maestro of this movement was J.P. Morgan, the banker with a raven-wing mustache, overripe nose and chef's-knife mind. His campaign to combine companies and rationalize industries culminated in U.S. Steel in 1901. It was a holding company. Morgan capitalized it (at $100 per share) not based on older notions of construction costs (since it built nothing), but at the level he believed the market would bear: an unprecedented $1.4 billion.

Still, the idea that stocks meant stuff persisted. *The Wall Street Journal* declared on its front page, "We regard it as unfortunate that the new steel company should have carried the tendency toward overcapitalization further. The figures...can hardly fail to create an impression that consumers of iron and steel are to be asked to pay dividends on watered stock."

As president, Roosevelt continued to attack overcapitalization, but Congress lacked the political will to act against it. Doing so would have required a federal override of state laws, and the corporation-friendly Republican Party had no appetite for that. If he'd had his way, it would have rendered holding companies effectively illegal. The great movement toward corporate concentration might have collapsed and antitrust law would have become almost moot.

"**IS STOCK WATERING IMMORAL?"** an ethicist asked in a 1906 essay. In the first decade of the 20th century, moralists and financiers debated the question as never before, because the law and economic morality were rapidly changing. In 1907 members of the Economic Club of New York declared "there was no such thing as overcapitalization," arguing that it posed no problems for society.

Which brings us back to Rockefeller. When the 1911 antitrust decision forced Standard Oil to spin off 33 subsidiaries, he retained his stake in all of those companies. He reached his first billion in 1916 when a share of Standard Oil sold for $567. A journalist added this to the market value of a share in each of the subsidiaries to find the equivalent to a share in the pre-breakup corporation: $2,014—far beyond the once all-important par value of $100. It only happened because the link between tangible stuff and stock prices was broken.

Standard Oil's refinery in Richmond, Calif. LIBRARY OF CONGRESS/CORBIS/VCG/GETTY IMAGES

In many ways, the new abstraction of finance has been a good thing. The imagination of the market pushed past old limits. Companies whose value is built on intangibles are able to attract investment and flourish. The modern idea of shares makes possible the economy we have today, in which services and intellectual property play a larger role than manufacturing. The notion that the stock in a digital or financial-services corporation could be worth no more than the value of its office equipment seems absurd, and for good reason.

But it is not without cost. The old idea of share value imposed a simple, intuitive limit on the size of corporations and the polarization of wealth. It disciplined greed, in the interests of investors and the public (or so it was thought). As that 1906 ethicist wrote, “The men who believe that it is improper, intolerable, and wrong for monopolistic concerns to obtain more than a reasonable rate of interest [i.e., profit on capital invested], easily constitute a large majority of the American people.”

That speaks to both sides of the economic debate, which continues to this day: corporate power and wealth disparity, both powered by the stock market. America still has the tools that turn-of-the-century Americans developed to address them, respectively antitrust enforcement and the progressive income tax. But we’ve never replaced that ethic of restraint, that lost limit on shares.

Musk’s incomprehensible trillion-dollar net worth feels like an inflection point, given rising discontent at wealth polarization and the political influence of billionaires. It is the kind of moment that might give rise to a new ethic, to new laws, that will reshape the corporate world.

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